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Report Highlights:

Post maintains Vietnam's soybean meal consumption forecast for the marketing year (MY) 2023/24 at 5.85 million tons, aligned with feed consumption. It expects consumption to rise to 6.1 million tons in 2024/25 due to increased demand for animal and aquafeed. Post also forecasts higher soybean imports for both crush and food use in 2023/24 and 2024/25. However, soybean meal imports are projected to decrease to 4.9 million tons in 2024/25 due to increased domestic crushing.

Executive Summary

Vietnam's economy is recovering, showing positive signs for 2024. The International Monetary Fund, Asian Development Bank, and World Bank have upgraded their growth projections to 6 percent for 2024 and 6.5 percent for 2025. Demand from major export markets, including the United States and EU countries, is increasing due to rising purchase orders. Farm-gate prices for hogs, catfish, and shrimp are favorable compared to production costs, encouraging farmers to repopulate their herds. However, African Swine Fever (ASF) still poses a threat to the swine industry. Additionally, Typhoon Yagi struck northern Vietnam in September, damaging livestock and crops, and affecting human lives.

According to the Ministry of Agriculture and Rural Development's (MARD) August monthly report, Vietnam's swine and poultry populations increased by 2.2 and 3.4 percent, respectively, while the cattle population declined.

According to the Vietnam Association of Seafood Exporters and Producers (VASEP) report, total catfish exports in the first eight months of 2024 reached \$1.3 billion, a nine percent increase compared to the same period last year. Shrimp exports also rose by 10 percent, totaling \$2.4 billion. Post maintains its estimate of total feed demand at 26.5 million tons for the MY 2023/24 due to a projected gradual rebound in demand for animal and aquafeed, revising the 2024/25 forecast to 27.5 million tons, reflecting expected growth in Vietnam's economy, particularly in animal and catfish sectors.

In September 2023, MARD updated its list of quarantine pests, removing *Cirsium arvense* inspections for this pest will no longer be conducted.

Post also revised Vietnam's soybean import forecast to 2.05 million tons for MY 2023/24, increasing to 2.5 million tons in 2024/25 due to higher soybean crush and food consumption. Soybean meal consumption for feed is expected to reach 5.85 million tons in 2023/24 and increase to 6.1 million tons in 2024/25. Forecasts for soybean meal imports are reduced to 4.9 million tons in 2024/25 due to higher local production.

OILSEEDS SITUATION AND OUTLOOK

Soybean

Production

According to the General Statistics Office (GSO), Vietnam’s soybean planted area as of August 20, 2024, was 26,700 hectares, reflecting a one percent reduction compared to the same period last year. The continued decline in soybean planted area for MY 2023/24 is part of an overall trend of Vietnamese farmers switching to more profitable crops such as fruits and vegetables.

Typhoon Yagi hit Vietnam on September 7, causing extensive damage to twenty-six northern provinces where a large proportion of the soybean growing area is located. Prolonged heavy rains in the following week have resulted in floods and landslides. Post estimates the soybean harvested area for both MY 2023/24 and MY 2024/25 at 25,000 hectares.

Table 1: Soybean Production

	2021	2022	2023	2024*	2025*
Crop area (thousand ha)	36	32.5	30	25	25
Crop yield (MT/ha)	1.6	1.6	1.6	1.6	1.6
Total production (TMT)	58	52	48	40	40

Source: General Statistics Office (GSO), Ministry of Agriculture and Rural Development (MARD),
The data included inventory of winter crop in the North starting from October annually.

*Post estimates

Consumption

Industrial crush

Vietnam currently has two crushing facilities, one in the north and the other in the south. Both the southern and northern plants plan to add a new crushing line. In addition, a new crushing facility in the south is in the final stage of construction, while a new crushing line in the north is starting construction. Soybean crushing is driven by demand for soybean meal for animal and aquaculture feed, as well as for soybean oil.

Post revises its estimate of MY 2023/24 soybean crush to 1.4 million metric tons (MMT) due to the delayed operation of the new crushing line in the southern plant. Post maintains its forecast of MY 2024/25 soybean crush at 1.8 MMT, due to additional crush volume from the new facility in the south.

Food Use Consumption

Post maintains its forecast of soybean consumption for food use in MY 2023/24 at 530,000 tons, increasing to 540,000 tons in MY 2024/25 due to continued growth in the food service and tourism sectors. According to GSO, as of August 31, 2024, total retail and services revenue in Vietnam increased by 8.5 percent compared to the same period in the previous year. Revenues from food and beverage and lodging services also increased by about 14.3 percent. For international tourists, total arrivals were up by 146 percent.

Feed, Seed, Waste Consumption

Post forecasts soybean feed consumption in MY 2023/24 at 180,000 tons, increasing to 200,000 tons in MY 2024/25 in line with projected increases in poultry and swine production. A feed mill in the north of Vietnam has started constructing its full-fat soybean processing facility, increasing capacity from 3,000 to 20,000 tons per year, according to an industry contact.

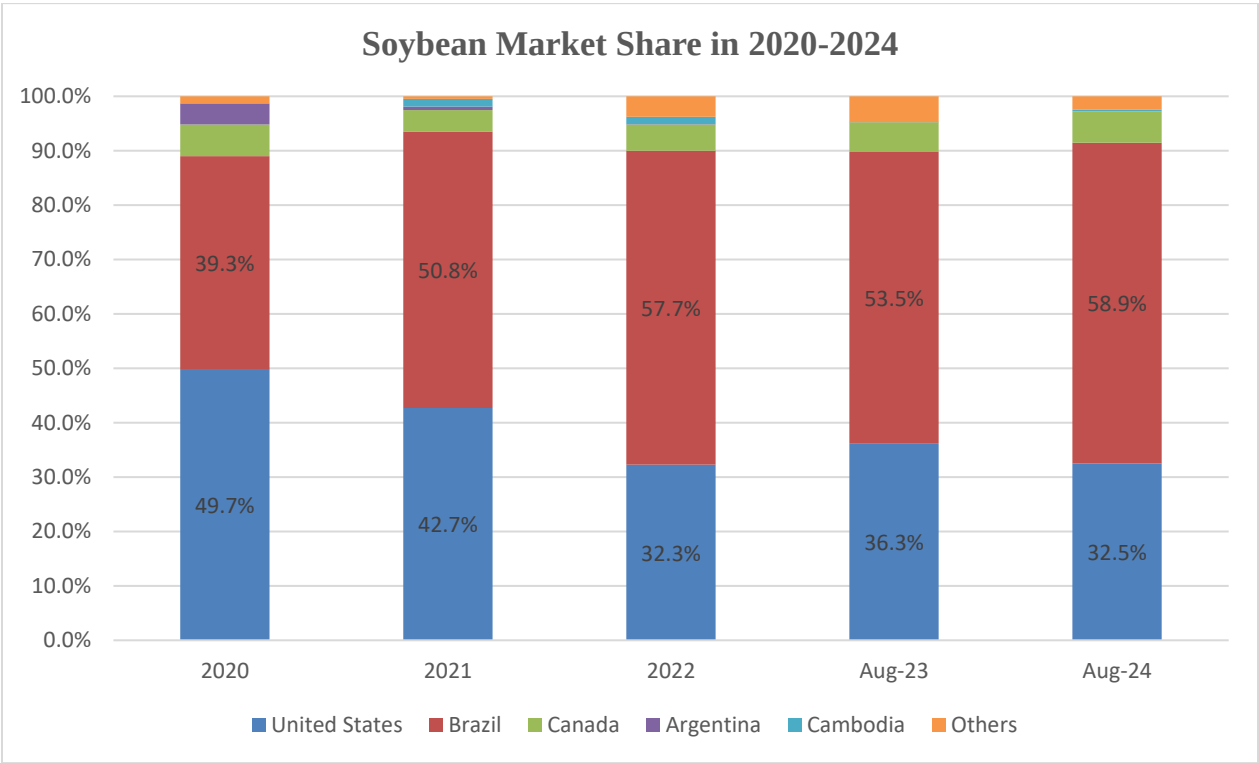
Trade

Imports

According to Vietnam Customs, Vietnam's soybean imports as of August 31 reached 1.45 million tons, an increase of 5.2 percent compared to the same period the previous year. Brazil was the largest soybean exporter, with 58.9 percent of the market share, while the United States held 32.5 percent, followed by Canada.

Post revises its estimate of soybean imports to 2.05 MMT in MY 2023/24 due to the delayed operation of the new crushing line in the southern plant. Post maintains its forecast of soybean imports in MY 2024/25 at 2.5 MMT, reflecting the projected additional capacity from the new crushing facility in the south and anticipated increases in food consumption.

Table 2: Soybean Supplier Market Share (percentage)



Source: Vietnam Customs published at <https://www.customs.gov.vn>

Policy

On August 15, 2023, MARD issued Circular 04/2023, renewing the list of quarantine pests of the Socialist Republic of Vietnam. *Cirsium arvense* is no longer listed. The Circular entered into force on September 29, 2023. After that time, MARD ceased inspections for this pest.

Peanuts

Production

According to the GSO, as of August 20, the peanut planted area was 136,200 hectares, a drop of two percent compared to the same period the previous year. The peanut planted area is declining in both the northern and southern provinces of Vietnam due to low prices relative to imported peanuts and other more profitable crops, such as fruits and vegetables.

Due to the impact of Typhoon Yagi on the northern provinces of Vietnam, Post revises its peanut production estimate for MY2023/24¹ estimate down to at 367,000 tons on a harvested area of 140,000 hectares, and the forecast for peanut production in MY 2024/25 down to 354,000 tons based on projected decreases in planted area as farmers switch from peanuts to more profitable crops, such as fruits and vegetables. According to a peanut trader in the south of Vietnam, farmland previously used for peanuts has been converted for other purposes, including residential buildings, and they have had to source imported peanuts for export and domestic processing, ceasing the use of in-shell peanut processors in their facility.

Table 3: Vietnam's Peanut Production

	2021	2022	2023	2024*	2025*
Crop area (thousand ha)	165	159	153	140	135
Crop yield (MT/ha)	2.61	2.57	2.62	2.62	2.62
Total peanut production** (TMT)	430	410	402	367	354

Source: GSO, MARD

*Post estimate

**in-shell basis

Crush

Post maintains its forecast for peanut crush volume at 34,000 tons for both MY 2023/24 and MY 2024/25. This reflects a low estimated oil extraction rate of 0.26 due to the small scale of production and limited crushing technology. Peanut crushing occurs at the household level, based on family consumption and some small-scale processors.

¹ Marketing Year (MY) of peanuts is from January 1 to December 31.

Food Use Consumption

Post keeps its forecast of total peanut consumption at 540,000 tons in MY2023/24, further increasing to 545,000 tons in MY2024/25, due to the expected rebound of tourism, processing, and the service sector.

Most locally produced and imported peanuts are consumed through retail sales channels, food service, and the food processing industry (especially the snack industry) for both domestic consumption and export.

The rebound of the tourism sector, along with restaurants, foodservice providers, street vendors, wholesale and wet markets, and small retail stores, is projected to drive an increase in domestic consumption of in-shell and shelled peanuts.

In-shell peanuts are available from street vendors in boiled and roasted forms, at “bia hoi” (fresh draft beer) restaurants, and in wet markets during harvest season. Small retail stores typically sell raw shelled peanuts in loose format, while modern retailers, including supermarkets and hypermarkets, sell packaged raw shelled peanuts. Foodservice providers and food processors purchase peanuts in bulk.

Trade

Imports

According to Vietnam Customs, as of August 31, Vietnam imported 163,000 tons of peanuts (in-shell basis), down 37 percent compared to the previous year. Most imports are shelled peanuts. India and Madagascar continue to be the main suppliers to Vietnam, with about 52 and 32 percent of the total market share, respectively. The decrease in imported shelled peanuts is due to reduced exports via border trade with China and Cambodia. Vietnam imports shelled peanuts for border trade with China and Cambodia and for processing and re-export.

According to Trade Data Monitor (TDM), global exports of prepared and preserved peanuts (HS code 200811) to Vietnam, including peanut butter, are about 400 tons from January to June 2024.

Post has revised its forecast of Vietnam’s peanut (in-shell basis) imports down to 260,000 tons in MY 2023/24 due to lower exports and increased it to 380,000 tons in MY 2024/25 due to expected higher exports and a rebound in the services and tourism sectors.

Table 4: Vietnam's Peanut Imports, by HS code

Year	2020	2021	2022	2023 (Jan-Aug)	2024 (Jan - Aug)
Total in-shell peanut (MT) (<i>HS code 120241</i>)	16,304	1,222	2,319	478	526
Total shelled peanut (MT) (in-shell basis) (<i>HS code 120242</i>)	228,305	212,821	215,127	258,165	162,558
Total peanut imports (in-shell basis) (MT)	244,609	214,043	217,446	258,643	163,084

Source: Vietnam Customs and Post's calculation

*Note: Conversion rate from shelled peanut into in-shell peanuts: 1.33.

Exports

As of August 31, Vietnam exported 48,000 tons of peanuts (in-shell basis) in MY 2023/24 (Tables 5 & 6), a decrease of 62.5 percent compared to the same period of the previous year. Vietnam's main export market is China, which accounted for 67 percent of total exports.

According to TDM, Vietnam exported about 2,000 tons of prepared and preserved shelled peanuts (HS code 200811) in the first half of MY 2023/24, a similar level compared to the previous year. Taiwan is the main importer.

Post revises its estimate of peanut (in-shell basis) exports down to 70,000 tons in MY 2023/24 due to lower market export demand and forecasts an increase to 200,000 tons in MY 2024/25 due to expected stronger demand from the Chinese market due to lower forecasted domestic production there.

Table 5: Vietnam Peanut Exports, by HS Code 200811

Year	2020	2021	2022	2023 (Jan-Aug)	2024 (Jan-Aug)
Shelled peanut exports (MT) (<i>HS code 200811</i>)	5,552	4,024	3,065	1,480	1,487
Peanut exports (in-shell basis) (MT)	7,384	5,003	4,076	1,968	2,211

Source: TDM²

Note: Peanuts are on an in-shell basis, including shelled peanuts HS code 200811 including peanut butter, but volume of peanut butter is negligible.

Conversion rate from shelled peanut into in-shell peanuts: 1.33.

² Vietnam is not a reported country in TDM. Throughout this report, every time TDM is noted, Vietnam exports refer to global imports from Vietnam and Vietnam imports refers to global exports reported to Vietnam.

Table 6: Vietnam's Peanuts Exports, by HS code

Year	2020	2021	2022	2023 (Jan-Aug)	2024 (Jan-Aug)
Total in-shell peanut (MT) (<i>HS code 120241</i>)	15,666	14,284	2,779	4,060	3,759
Total shelled peanut (MT) (in-shell basis) (<i>HS code 120242</i>)	94,890	90,888	80,043	91,703	41,942
Peanut exports (in-shell basis) (MT)	110,556	105,172	82,822	126,025	45,400

Source: Vietnam Customs and Post's calculation

**Note: Conversion rate from shelled peanut into in-shell peanuts: 1.33.*

Copra

Production

In early 2024, MARD issued Decision 431 to approve the Program for the Development of Major Industrial Crops to 2030, including coconut, coffee, rubber, pepper, and cashew. This policy encourages local governments and farmers to sustain and increase their coconut farming area. According to the Vietnam Coconut Association, there are 25 coconut varieties growing in Vietnam, serving both fresh direct consumption and processing. The main processed products are coconut milk, desiccated coconuts, canned coconut juices, handicrafts, and charcoal for export and domestic consumption.

The coconut black-headed caterpillar (*Opisina arenosella*) was discovered in Ben Tre province in July 2020. As of September 12, according to a weekly pest report from MARD's Plant Protection Department (PPD), about 1,088 hectares in major coconut planting provinces have been infested. This pest damages coconut leaves and nuts and can kill the trees. Another pest damaging coconuts is *Brontispa longissima*, a leaf beetle that feeds on young leaves and damages seedlings and mature coconuts. PPD reported that about 5,500 hectares of coconuts have been infested.

Post maintains its forecast that the coconut planting area will increase to 198,000 and 200,000 hectares in MY 2023/24 and MY 2024/25, respectively, due to higher expected profits compared to other crops and its strong resistance to saline intrusion. Post forecasts the harvested area at 188,000 and 190,000 hectares in MY 2023/24 and MY 2024/25, respectively, because it takes four to five years from the time of planting before coconut trees are ready for their first harvest, according to the Ben Tre Coconut Association.

Vietnam's copra production is a by-product of its coconut oil production, with an estimated extraction rate of 64 percent from milling copra to coconut oil.

Table 7: Coconut and Copra Production

	2021	2022	2023	2024*	2025*
Coconut planting area (thousand ha)	186	194	196	198	200
Coconut harvested area (thousand ha)	176	184	186	188	190
Average coconut yield (nuts/ha)	9,000	9,000	9,000	9,000	9,000
Coconut production (million nuts)	1,584	1,620	1,674	1,692	1,700
Coconut Oil production (MT)	10,000	10,000	10,000	10,000	10,000
Milling Copra Consumption for coconut oil crushing (MT) ***	15,000	15,000	15,000	15,000	15,000
Total Estimated Copra Production (MT)***	15,000	15,000	15,000	15,000	15,000

Source: MARD, GSO, TDM, Ben Tre Coconut Association and Coconut Processing Companies

**Post estimates*

**** Estimated extraction rate is 64 percent.*

Consumption

Industrial Use

Copra crushing plants in Ben Tre province have a total estimated annual production capacity of 10,000 tons of crude and refined oil and 3,000 tons of virgin coconut oil for the domestic and export markets.

Post maintains its copra crush estimate at 16,000 tons for both MY 2023/24 and MY 2024/25. This reflects the estimated coconut oil production.

Food Use

There is no official production data for copra, desiccated coconut, and other coconut products or their consumption in Vietnam. However, the major coconut products for food use include fresh and mature coconuts for immediate consumption and cooking, coconut milk, desiccated coconut, coconut milk powder, refined coconut oil, and coconut juice.

Other mature coconuts and coconuts in the inner shell are used for further processing into products including desiccated coconuts, coconut milk, coconut jelly, coconut candy, packaged coconut juices, and butter, as well as for sale in traditional wet markets across the country or for export for direct consumption.

Trade

Vietnam continues to import and export a negligible volume of copra, instead focusing on other coconut products.

Table 8: Vietnam's Coconut Product Imports

Unit: MT

Product group	2020	2021	2022	Jan - June 2023	Jan - June 2024
Desiccated coconuts (HS code 080111)	5,195	43,316	24,521	79	1,539
Coconuts in the inner shell (Endocarp) (HS code 080112)	34,928	24,614	605	544	539
Coconuts, other than desiccated (HS code 080119)	87,329	39,185	4,181	2,100	1,050
Copra (HS code 120300)				53	53

	71	-	82		
Coconut fibers (HS code 530500; 530511; 530519; 530810)	3,977	3,366	3,605	1,950	1,846

Source: TDM

Coconut products that are exported include desiccated coconuts, coconuts in the inner shell, coconut milk, coconut fibers, and activated charcoal. According to TDM, in the first six months of MY 2023/24, Vietnam's desiccated coconut exports were down 33 percent compared to the same period the previous year, due to weaker consumption in the main export markets.

Vietnam's exports of coconuts, other than desiccated, reached 109,000 tons, up four times compared to the same period the previous year, with China as the largest importer. Vietnam's exports of coconut milk to Thailand also increased.

Table 9: Vietnam's Coconut Product Exports

Unit: MT

Product group	2020	2021	2022	Jan - June 2023	Jan - June 2024
Desiccated coconuts (HS code 080111)	15,381	56,178	19,479	15,318	10,197
Coconuts in the inner shell (Endocarp) (HS code 080112)	104,979	141,057	229,890	143,877	105,708
Coconuts, other than desiccated (HS code 080119)	204,609	113,800	60,574	28,547	108,870
Copra (HS code 120300)	2		1		
Coconut fibers (HS code 530500; 530511; 530519; 530810)	88,884	75,301	66,509	41,412	48,070
Coconut milk (HS code 21069099002/3) *	51,920	44,741	42,033	18,313	19,765

Source: TDM

*Coconut milk exports to Thailand

A contact at the Vietnam Coconuts Association estimated that total coconut product exports will reach \$1.1 billion this year. In mid-2024, Vietnam gained market access to China for fresh coconuts.

On August 8, 2023, USDA's Animal and Plant Health Inspection Service (APHIS) officially informed Vietnam's Plant Protection Department that partially de-husked coconuts will be classified as a processed product. Vietnamese producers can begin shipping partially de-husked coconuts to the United States, with shipments subject to inspection at U.S. ports of entry.

Post maintains its forecast for coconut product exports in MY 2024/25, expecting an increase due to the projected economic rebound in the country and the region.

Rapeseed

Production

There is no official data for rapeseed production in Vietnam. Rapeseed cultivation occurs mainly in the northern mountainous provinces as part of the tourism industry or for household consumption. Post continues to estimate the rapeseed planted area at 1 thousand hectares for MY2023/24 and MY2024/25³.

Consumption

Aside from the tourism industry, rapeseed is also used for oil extraction at the household level. Post estimates very low rapeseed consumption to continue in MY2023/24 and MY2024/25.

³ Marketing Year (MY) of rapeseed, rapeseed meal and rapeseed oil are from October to September.

MEALS SITUATION AND OUTLOOK

Soybean Meal

Production

Post forecasts SBM production in MY2023/24⁴ at 1.1 million tons and MY2024/25 at 1.4 million tons. This reflects the soybean crushing volume forecast.

Table 10: Vietnam’s Soybean Meal Production

	2021	2022	2023	2024*	2025*
Total Local SBM Production (TMT)	1,015	1,015	1,015	1,093	1,405

Source: Local Producers, *Post estimate.

Feed Consumption

To date, there have been two reductions in completed animal feed prices announced by large feed millers in March and May 2024. Local media has circulated rumors about a third reduction in 2024. These reductions are due to lower prices for most imported animal feed ingredients since late 2023, including corn, wheat, soybean meal, and other meals. Live weight hog prices have remained stable at a good level since May, around VND 66,000–69,000 per kg. At these prices and with lower compound feed costs, large industries and local farmers are investing in the expansion and repopulation of their swine herds due to expected positive margins. The estimated hog production cost per kg is between VND 46,000 and 51,000, according to an industry contact. However, the threat from ASF remains a high risk for swine farmers. According to a contact at the Dong Nai Husbandry Association, ASF has affected not only backyard farms but also large-scale farms.

MARD's monthly report in August stated that Vietnam's swine and poultry populations increased by 2.2 percent and 3.4 percent, respectively, while the cattle population declined.

According to a report from VASEP, total catfish exports in the first eight months of 2024 reached USD 1.3 billion, an increase of 9 percent compared to the same period last year, but lower than the 2022 level. This increase is due to higher exports to major markets, including the United States (up 23 percent), Brazil (up 28 percent), and CPTPP countries (up 13 percent). Total shrimp exports also increased by 10 percent compared to the first eight months of 2023, reaching USD 2.4 billion. However, these exports are far lower than the USD 3 billion in shrimp exports during the same period in 2022. According to a contact in the aquaculture sector, Vietnam’s shrimp face strong competition from India and Ecuador,

⁴ Marketing Year (MY) of SBM is from January 1 to December 31

and farmers are also dealing with environmental issues and diseases. Post projects that Vietnam's catfish industry has potential for expansion in the coming years, while shrimp growth is limited due to high production costs and environmentally driven disease issues.

Typhoon Yagi hit northern Vietnam on September 7, causing extensive damage to twenty-six provinces. Prolonged heavy rains in the week following the typhoon triggered floods and landslides, adding to the destruction. According to local media, it is estimated that more than 3 million livestock and poultry were killed due to the floods. The Government of Vietnam is preparing supportive policies for crop and livestock farmers to help them overcome difficulties and restock their herds and winter crops.

Post maintains the estimate of total feed demand at 26.5 million tons in MY 2023/24 due to a gradual rebound in demand for animal and aquafeed. Post revises its MY 2024/25 forecast up to 27.5 million tons as Vietnam's economy rebounds, particularly with an expected increase in animal and catfish growth. The International Monetary Fund (IMF) projects Vietnam's GDP to grow by 5.8 percent in 2024 and 6.5 percent in 2025, while the World Bank forecasts Vietnam's economy to grow by 6.1 percent in 2024 and 6.5 percent in 2025, respectively.

In Vietnam, protein meals used for feed production are price-sensitive. Soybean meal is the major protein source in all catfish and animal feed formulations, ranging from 15 to 35 percent of the total ingredients. Aqua feed typically contains a higher soybean meal ratio in its formulation compared to animal feed.

Post keeps its forecast for soybean meal (SBM) feed consumption at 5.85 million tons in MY 2023/24, with an increase to 6.1 million tons in MY 2024/25, reflecting the projected total feed demand.

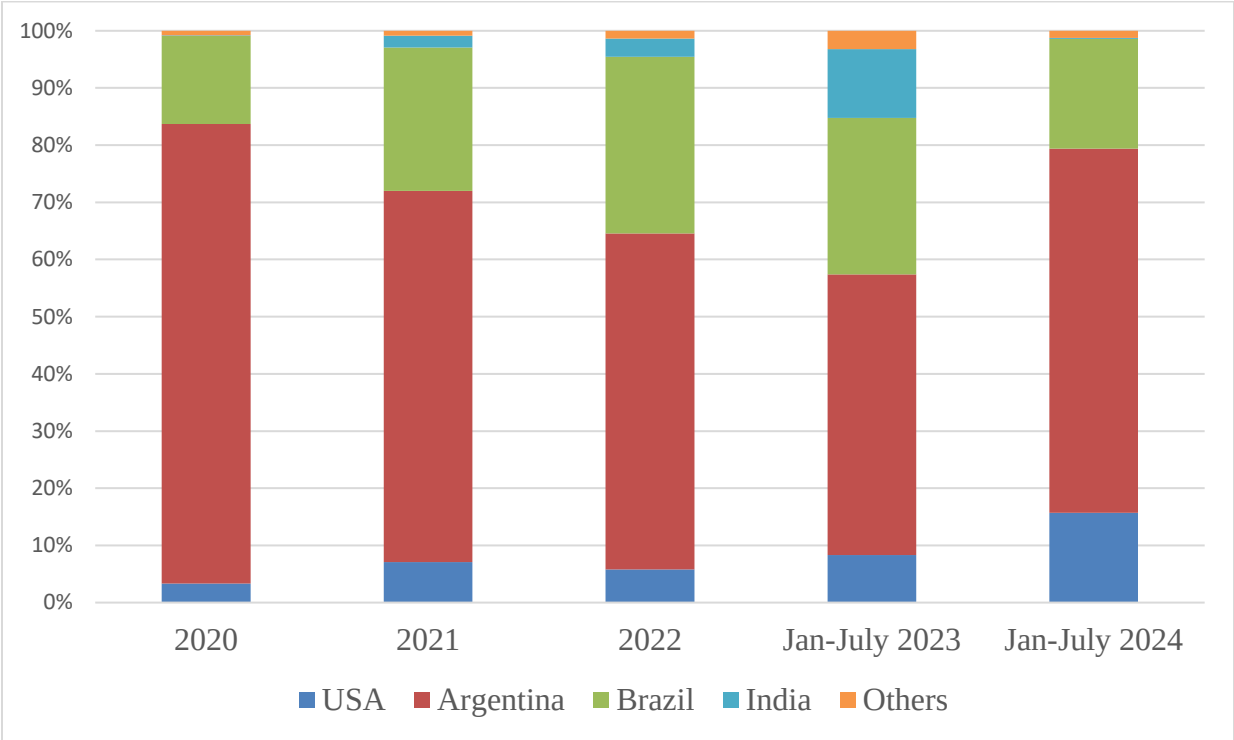
Trade

Imports

According to TDM, in the first seven months of MY 2023/24, Vietnam imported 3.3 million tons of SBM, an increase of 14.2 percent compared to the same period of MY 2022/23. Argentina is the largest supplier, accounting for almost 61.4 percent of SBM imports due to lower prices. The second largest SBM supplier to Vietnam is Brazil, accounting for 18.5 percent of the total market share. The United States ranks third, accounting for 15.1 percent of the total market share.

Post revises the SBM imports forecast for MY 2023/24 to increase to 5.1 million tons due to higher local demand for feed. SBM imports are forecasted to decline to 4.9 million tons in MY 2024/25 as new crush facilities come online, raising local production of SBM.

Table 11: Total Soybean Meal* Suppliers Market Share 2020-2024



Source: TDM data and Vietnam Customs

**Note: Soybean meal (HS code: 2304), and other residues from soybeans (HS Code: 230250), and soy flour (HS code 120810)*

Exports

Post keeps its forecast of SBM exports in MY2023/24 at 110,000 tons on consistent demand from Cambodia, at 120,000 tons in MY2024/25 due to higher availability on increased crush.

According to AgroMonitor, Vietnam exported 63,000 tons of SBM in first eight months of MY2023/24. Cambodia continued to be the main Vietnam export market as Cambodia lacks a port, making it costly to import SBM directly from other international sources.

Other Meals

Production

Post remains forecast of copra meal production at 5,000 tons for both MY2023/24 and MY2024/25, based on the estimated volume of coconut oil exports.

Most fishmeal producers in Vietnam are in the south, near input suppliers at fishing ports and fish processing plants, including catfish processors. Post increases forecasts of fishmeal production at 550,000 and 565,000 tons in MY 2023/24 and MY2024/25 respectively, in line with an expected increase in catfish production.

Trade

Imports

Fishmeal is used as a high-protein ingredient for aqua-feed and animal feed (sows and piglets), according to an industry source. According to TDM, Vietnam fishmeal imports in the first seven-months in MY2023/24 were 64,000 tons, down 19 percent compared to the same period of MY2022/23 due to a projected lower shrimp production. Post revises its fishmeal imports forecast down to 110,000 tons in both MY 2023/34 and MY 2024/25⁵ due to a forecasted lower feed demand for shrimp.

According to TDM, Vietnam's rapeseed meal imports totaled 174,000 tons in the first nine months of MY 2023/24, a decrease of 7 percent compared to the same period of MY 2022/23. India is the largest supplier of rapeseed meal to Vietnam. Post revises its forecast for rapeseed meal imports to 250,000 tons in MY 2023/24, increasing to 280,000 tons in MY 2024/25 in line with forecasts for total feed demand.

Copra meal imports amounted to 22,000 tons in the first six months of MY 2023/24, a decrease of 23 percent compared to the same period of the previous year. Indonesia and the Philippines were the two major suppliers of copra meal to Vietnam. Post revises its forecast for copra meal imports in MY 2023/24 to 50,000 tons, rising to 70,000 tons in MY 2024/25, following the estimated total feed demand and due to its low price.

Exports

Post maintains the fishmeal exports forecast at 320,000 tons for both MY 2023/24 and MY 2024/25 due to projected higher catfish production and lower marine catch, with China being the largest export destination. Vietnam exports low-protein fishmeal while importing high-protein fishmeal.

Fishmeal exports reached 155,000 tons in the first seven months of MY 2023/24, down 6 percent compared to the same period of the previous year. China remains the largest market.

⁵ Marketing Year (MY) of fishmeal is from January 1 to December 31.

OILS SITUATION AND OUTLOOK

Production

Post revises Vietnam's total refined vegetable oil production estimate to 1.53 million tons in MY 2023/24 due to the delayed operation of a new crushing line at the southern plant, rising to 1.65 million tons in MY 2024/25 due to increases in crushing capacity, domestic consumption, and exports.

Post revises local soybean oil production to 266,000 tons in MY 2023/24, increasing to 342,000 tons in MY 2024/25 to reflect the projected increase in soybean crush volume. Rice bran oil production is also forecast to increase. According to sources in the oil industry, rice bran oil is in high demand for home cooking due to its high quality and good price.

Table 12: Refined Vegetable Oil Production in Vietnam

Year	2021	2022	2023	2024*	2025*
Refined vegetable oil (TMT)	1,420	1,450	1,482	1,530	1,650

Source: GSO, *Post estimates and local producers

The domestic price of peanut oil is not competitive with other vegetable oils for household cooking, industrial canteen cooking, or food service. Currently, domestic peanut oil is about \$5-6 USD per liter while other vegetable oils range from \$1.50 to 2.50 USD a liter.

Table 13: Peanut Oil Production

	2021	2022	2023	2024*	2025*
Peanut oil production (MT)	8,200	8,500	8,700	8,700	8,700

Source: GSO, *Post estimate

Food Consumption

Palm oil is widely used in the food service and food processing sectors because of its low price. Post projects a higher use of palm oil in these sectors in MY 2023/24 and MY 2024/25 as the tourism and services sectors continue to grow.

Post forecasts refined vegetable oil consumption at 1.4 million tons in MY 2023/24 and 1.45 million tons in MY 2024/25, reflecting the expected continued growth of the food service and tourism sectors. There is room for further growth in local oil consumption, as vegetable oil consumption per capita in Vietnam is about 14 kg. The OECD projects that Vietnam's vegetable oil consumption per capita could increase to 18 kg.

Trade

Imports

Table 14: Imported Vegetable Oils to Vietnam (thousand metric tons - TMT)

Year	2021	2022	2023	2024*
Palm oil	915	995	1,110	1,140
Soy oil	75	55	78	80
Rapeseed oil	3	4	4	4
Coconut oil	4	4	4	4

Source: TDM

* Post estimates

According to TDM, in the first seven months of MY 2023/24, Vietnam imported 541,000 tons of palm oil, an increase of 3.7 percent compared to the same period of the previous year, due to the recovery in the food service and tourism sectors. The two main suppliers of palm oil are Indonesia and Malaysia.

Post forecasts palm oil imports in MY 2023/24 at 1.14 million tons, with continued increases projected for MY 2024/25 due to higher use of palm oil in food service sectors along with exports.

According to TDM, in the first seven months of MY 2023/24, Vietnam imported about 33,000 tons of soybean oil, an increase of 48 percent compared to the same period of the previous year. Post revises the soybean oil imports forecast for MY 2023/24 to 80,000 tons due to higher local demand and the delayed operation of a new crushing line at the southern plant, while projecting a decrease to 50,000 tons in MY 2024/25 due to higher local production.

According to TDM, in the first ten months of MY 2023/24, Vietnam imported about 14,000 tons of rapeseed oil, an increase of 141 percent compared to the same period of the previous year, driven by higher local oil consumption. Australia and Japan are the main suppliers.

Exports

According to TDM, in the first seven months of MY 2023/24, Vietnam exported about 38,000 tons of soybean oil, a decrease of 32 percent compared to the same period of the previous year due to higher local demand. Vietnam exported 6,000 tons of coconut oil during that period, an increase of 38 percent due to higher demand in major export markets, including the U.S. and Canada. Cambodia continues to import soybean and palm oil from Vietnam.

Table 15: Vietnam Exported Vegetable Oils to Cambodia (thousand metric tons - TMT)

Year	2021	2022	2023*	2024*	2025*
Palm oil	76	92	100	110	120
Soy oil	2	2	2	2	2

Source: TDM – Annual Series and Vietnam as reporter.

** Post forecast*

Post revises its forecast of soybean oil exports to 65,000 tons in MY 2023/24 and continues to project an increase to 100,000 tons in MY 2024/25, following the expected rise in domestic soybean oil production.

Post revises its forecast of palm oil exports to 110,000 tons in MY 2023/24, increasing to 140,000 tons in MY 2024/25, with Cambodia as the main export market.

Post forecasts coconut oil exports to increase to 10,000 tons in both MY 2023/24 and MY 2024/25 due to the expected economic recovery in major export markets.

(1000 MT) ,(PERCENT)(1000 MT) ,(PERCENT)

Oil, Rapeseed Market Year Begins Vietnam	2022/2023		2023/2024		2024/2025	
	Oct 2022		Oct 2023		Oct 2024	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	2	2	2	2	2	2
Extr. Rate, 999.9999 (PERCENT)	0.5	0.5	0.5	0.5	0.5	0.5
Beginning Stocks (1000 MT)	0	0	1	0	2	1
Production (1000 MT)	1	1	1	1	1	1
MY Imports (1000 MT)	7	7	15	15	5	8
Total Supply (1000 MT)	8	8	17	16	8	10
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	7	8	15	15	8	9
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	7	8	15	15	8	9
Ending Stocks (1000 MT)	1	0	2	1	0	1
Total Distribution (1000 MT)	8	8	17	16	8	10
(1000 MT) ,(PERCENT)						

Oil, Palm Market Year Begins Vietnam	2022/2023		2023/2024		2024/2025	
	Jan 2023		Jan 2024		Jan 2025	
	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	0	0	0	0	0	0
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	86	86	99	144	112	167
Production (1000 MT)	0	0	0	0	0	0
MY Imports (1000 MT)	1050	1110	1100	1140	1100	1170
Total Supply (1000 MT)	1136	1196	1199	1284	1212	1337
MY Exports (1000 MT)	90	100	80	110	70	120
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	940	945	1000	1000	1025	1050
Feed Waste Dom. Cons. (1000 MT)	7	7	7	7	0	7
Total Dom. Cons. (1000 MT)	947	952	1007	1007	1025	1057
Ending Stocks (1000 MT)	99	144	112	167	117	160
Total Distribution (1000 MT)	1136	1196	1199	1284	1212	1337
Yield (MT/HA)	0	0	0	0	0	0
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						

Attachments:

No Attachments